

The software was created by Fair Isaac Corporation – FICO – so you see the words “credit score” or “FICO score” used. Fair Isaac, a Minneapolis-based financial services company, does not house a database with all kinds of information about you. All three credit reporting agencies use the FICO software. No estimator or calculator or feeble human brain can replicate the processes that the software goes through. The credit score is computed using a proprietary mathematical formula. I like that word “proprietary.” It means: I know the secret, and I don’t have to tell you.

The credit bureaus and the financial lending institutions think keeping the formula a secret will keep you in the palm of their hand. Not so. We don’t need to understand electricity to know how to turn on the lights, and we don’t need to understand any algorithms to fix our credit scores. The credit score is comprised of five basic elements. According to About.com: Home buying, the breakdown is as follows:

✓ **35% – Payment History**

Number of accounts paid; Collections or negative public records; Delinquent accounts: total number of past due items; how long past due; how long since you made a late payment.

✓ **30% – Amounts You Owe**

How much you owe on accounts and the types of accounts with balances; How much of your credit lines you’ve used; Amounts you owe vs. their original balances; Number of zero balance accounts.

✓ **15% – Length of Your Credit History**

Total length of time tracked by your credit report; Length of time since accounts were opened; Time that’s passed since the last activity; The longer you show good credit history, the better your score.

✓ **10% – Types of Credit Used**

Total number of accounts and types of accounts (credit cards, mortgage, car, etc.). A mixture of accounts usually generates better scores than only numerous credit cards; they practically throw credit cards at us, yet the credit score goes down with too many credit cards.